

Research Report

Fraud Control Unit

CVCE Loans

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User

Interviews

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RESEARCH GOAL

The study aims to understand the operational realities of the Fraud Control Unit (FCU) during CVCE loan processing. It focuses on exposing manual redundancies, system integration issues (such as DLP and Perfios limitations), and the heavy reliance on third-party vendors for field verification, all of which impact the overall turnaround time (TAT).

- Understand the daily workflow of physical and online FCU file checks.
- Identify the exact triggers that prompt physical verification or negative reporting.
- Assess the friction caused by external vendor dependencies and disconnected technical platforms.
- Evaluate how early-stage system limitations at the Sales/Login phase create delayed bottlenecks at the FCU stage.

USER PROFILE & METHODOLOGY

Sr. No	Staff Name	Designation	Loan Type	Location
1	Rahul. K	FCU Checker	CVCE	Kalina
2	Owais	FCU Maker	CVCE	Kalina

~ 40 min direct user interview dissecting the file evaluation process, vendor management, system usage (Perfios, Hunter, Uni-Ken), and fraud detection scenarios.

EXECUTIVE SUMMARY

- The FCU verification process is split into an online process handled by teams in Delhi/Noida and a physical file process handled locally.
- Physical files take roughly 20 to 25 minutes to evaluate, extending to a minimum of 30 to 60 minutes if heavy financial documentation is involved.
- Physical verification is entirely outsourced to third-party vendors managed through a platform called **UniKen**, where files are uploaded and reports are received.
- Vendors typically maintain a 24-hour Turnaround Time (TAT) within the city, but locations outside the city (like Uran and Raigad) face 1-to-2-day delays due to irregular vendor availability.
- The target TAT from sanction to disbursement is roughly three weeks.
- Taking a full month per file is unacceptable to management and leads to severe escalations.

EXECUTIVE SUMMARY

- Delays are primarily customer-driven; if FCU flags a document issue, it often takes a full week just to get the customer to cooperate and provide the correct revision, stretching the overall timeline.
- First-time field checks are deliberately conducted as **surprise visits** to gauge genuine business setups.
- Data Leakage Prevention (DLP) protocols block large bank statement files, forcing a convoluted workaround where Credit teams manually upload data to Perfios, which frequently misreads data and doubles the manual workload for FCU.
- System architectures lack upfront fraud triggers at the initial stages; consequently, fraudulent applications (e.g., forged utility bills) travel through a 15-day processing cycle before being caught at the FCU/Credit stage.
- To expedite processing, renewal cases returning within 12 months are exempted from additional document checks.

FINDINGS OVERVIEW

Document Evaluation & Triggers

- Operations and Sales teams provide a checklist of submitted documents signed by the customer.
- FCU scrutinizes **Proforma Invoices**, particularly for large amounts (e.g., 66 lakhs) or if the **dealer is freshly empanelled**, to ensure market standards are met.
- Customers submit lists of owned vehicles (e.g., 15 free, 5 on loan) to establish financial stability.
- FCU cross-checks **these via online portals** or through vendors at the RTO to confirm hypothecation status; discrepancies (e.g., claiming free vehicles that are actually sold or mortgaged) trigger negative reports.
- If residential addresses on submitted documents **conflict with Aadhaar data** (verified via QR code scanning), **FCU immediately triggers a physical visit**.

“

First check hum log ka surprise hi hota hai. Kyunki bank ka policy ye bolta hai ki koi bhi customer jo hum log ke paas aa raha hai... hum log ko ye nahi pata na ki usne kya cheezein udhar setup ki hai, actual me genuine hai.

”

“

Three weeks, ye logon ko disbursement ka target hai na. Sanction karwa ke disbursement ka target hai, agar ek ek mahine ek file ke piche lagayenge toh upar wala toh blast ho jayega

”

FINDINGS OVERVIEW

Document Evaluation & Triggers

- Neighbours (TPC - Third Party Checks) are questioned regarding the applicant's tenure at the residence.
- Forms are often hastily filled out by Sales or Operations staff, **occasionally leaving signature markers in pencil for the customer.**
- Customer typos in written account numbers, as opposed to providing cancelled cheques, cause processing failures.
- Sampled files are **marked with a red stamp** and handed over to Operations/Credit teams.
- Sanctions are conditionally approved **basis on the FCU positive report.**
- If negative, Sales must resolve the discrepancies.

FINDINGS OVERVIEW

Vendor Management via UniKen

- Bank-appointed vendors handle all physical site visits.
- Communication, file handover, and report reception happen exclusively through the **UniKen** platform, not via email.
- Technical glitches on the vendor's end or **RTO server downtimes stall reports**, drastically squeezing TAT and jeopardizing the Sales team's disbursement commitments.

“

Toh ye bank verification main vendor ko dunga... vendor uske connection ko dega, wo connection wo check karega, aur check karne me hi usko time jayega kyunki samne wale bande ka agar server down hai, Toh wo turn around time bohot issue ho jata hai.

”

FINDINGS OVERVIEW

Realities of the Field Visit by FCU teams

- Bank policy mandates the initial visit must be a surprise to verify authenticity.
- If vendors face **entry restricted** or uncooperative office staff (e.g., a 25 CR case where staff refused verification), FCU files a negative report.
- Credit rejects this, forcing Sales to secure an official appointment for a secondary visit, which usually yields a positive outcome if the client is genuine.
- Heavy Commercial Vehicle operators **often run operations from their residential addresses** rather than dedicated setups.
- Conversely, **strategic clients have massive, multi-city establishments**, making physical verification smoother compared to fresh, retail-level startups.

SYSTEM LIMITATIONS & BOTTLENECKS

DLP & Perfios Bottleneck Issues & Hunter System Friction

- Due to high megabyte (MB) sizes, bank statements cannot be printed or easily emailed by Sales without **triggering the bank's Data Leakage Prevention (DLP) protocol.**
- As a workaround, Credit uploads these files into Perfios.
- Perfios **frequently misinterprets** printing sequences or **minor formatting issues as fraud triggers.**
- This forces FCU staff to **manually re-read and cross-verify the highlighted transactions**, creating a redundant double-work scenario.

“

Perfios kya karta hai aapko highlighter de deta hai... Agar uske andar upar neeche hua, printing mein bhi. It will give you as a trigger as a fraud... Toh mujhe wapas ja ke wo check karna padta hai. I cannot rely on the other person ki bhai usne check kiya matlab barabar hi hoga.

”

SYSTEM LIMITATIONS & BOTTLENECKS

DLP & Perfios Bottleneck Issues & Hunter System Friction

- If a customer uses a new email address or contact number compared to a previous login, the **Hunter** system automatically flags it as a mismatch.
- The Hunter team **must manually call and verify** these changes.
- Until justification is provided and cleared in the system with strict TATs, the file cannot proceed.

“

Customer bohot time hai na list bada deta hai. Kam se kam 10-15 gaadiyon ka list deta hai... Toh usme se aisa ho sakta hai ki kabhi kabar customer purana hi list de deta hai. They are not that much well equipped with the knowledge and part na. Aur ye agar pata chala toh call krke poochte hai.

”

SYSTEM LIMITATIONS & BOTTLENECKS

Lack of Upfront Validation

- Currently, Sales teams lack **upfront system visibility** regarding a customer's fraud history.

Case Study:

- A 70-year-old customer applied for a 4.5 CR loan without ownership proof. He expertly taped over the name on a residential light bill and photocopied it. Sales processed the file without noticing. FCU caught the name mismatch online, conducted a field visit, and the customer surrendered upon confrontation. Because the decline was over 1 CR, it mandated a full RBI fraud report.

“

Agar BQS me koi aur bank ne aise koi customers ko identify karke agar report kar chuke hai... Toh login karte time hi udhar stop karke he can able to go to the credit and ask ki bhai ye isme pop up hui thi... nahi toh kya hoga? Ki wo banda behara kam se kam pandrah din toh ghusega uske andar...

”

SYSTEM LIMITATIONS & BOTTLENECKS

Lack of Upfront Validation

Proposed Solution by the FCU team:

- FCU strongly recommends integrating **early BQS triggers and RC/Entity proof validation** at the initial Sales login stage.
- Stopping fraudulent files at entry would **prevent Operations and Credit from wasting up to 15 days** on doomed applications.

“

Toh sales walo ko usi time pe pata chal jayega ki bhai usne customer ne galat detail diya hai. Toh usme kya turnaround time jo hai na, credit ka work upon karne ka ya operation ka karne ka ya mera karne ka... it will get stopped over there only.

”

Thank You